

**NANYANG TECHNOLOGICAL UNIVERSITY
SCHOOL OF SOCIAL SCIENCES**

HE3002 Macroeconomics III

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Course Description and Scope

Macroeconomics III is a continuation of Macroeconomics II designed to provide students with a comprehensive understanding of complex macroeconomic theories and policies, especially in the context of an open economy. This course builds upon the foundational principles covered in Macroeconomics I and II and examine deeper into the intricate dynamics that drive national and international economic systems.

The course begins with an exploration on the open economy, where students will study exchange rates and their determination, examining the effects of currency fluctuations on trade, capital flows, and overall economic stability. The course will cover various exchange rate regimes, highlighting their advantages, disadvantages, and real-world applications.

Economic policy in an open economy is a critical component of the course. Students will evaluate the effectiveness of monetary and fiscal policies, considering the global context and the interconnectedness of modern economies. They will explore the strategic choices available to policymakers in managing economic growth, inflation, and unemployment, while also addressing issues such as capital mobility and trade imbalances.

A key question explored in the course is whether policymakers should be restrained by rules or have the flexibility to use their discretion. Through historical and contemporary case studies, students will engage in debates on the merits and drawbacks of imposing constraints on economic policies.

Finally, the course will review what is known about the effectiveness of various policies, using empirical evidence to assess their impact on economic performance. Students will learn about the design and implementation of monetary and fiscal policy rules, considering constraints such as budget deficits and debt limits. The goal is to provide students with a clear understanding of the trade-offs involved in economic policymaking.

By the end of this course, students will be equipped with the analytical tools and knowledge necessary to critically evaluate macroeconomic policies and their implications for both national and global economies. They will be prepared to engage in informed policy discussions and contribute to the development of sound economic strategies.

Tentative Lecture Schedule

Date	Topics
Week 1	Lecture 1 The Open Economy: Openness in Goods and Financial Markets

Date	Topics
Week 2	Lecture 2 The Goods Market in an Open Economy
Week 3	Lecture 3 Output, the Interest Rate, and the Exchange Rate
Week 4	Quiz 1 (25%)
Week 5	Lecture 4 Exchange Rate Regimes
Week 6	Lecture 5 Should Policymakers Be Restrained?
Week 7	Lecture 6 Fiscal Policy: A Summing Up
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Week 8	Quiz 2 (25%)
Week 9	Lecture 7 Monetary Policy: A Summing Up
Week10	Lecture 8 Consumption Theory
Week 11	Lecture 9 Investment Theory
Week 12	Quiz 3 (25%)

Textbook and notes for the class

The textbook is Macroeconomics, 8th edition by Olivier Blanchard. Blanchard's textbook is highly respected for its thorough and rigorous approach to macroeconomic theory. It provides a solid foundation in macroeconomic principles and includes in-depth discussions on policy issues.

Method of Instruction

Lectures : 2 hours per week

Tutorials : 1 hour per week

Course Assessment

Class participation and presentation	10%
Quizzes	75%
Take-home assignments	15%